MGT101-Financial Accounting

Chapter Wise MCQs for Final Term Mega File (CH 8 to 18)

By Study with BRD

CHAPTER 8: ACCRUAL ACCOUNTING

1. Which accounting method recognizes expenses when they are incurred and revenues when they are earned, regardless of when the cash is received or paid?

- a) Cash-based accounting
- b) Accrual-based accounting
- c) Tax-based accounting
- d) Expense-based accounting

2. What is the primary objective of accrual-based accounting?

- a) To match expenses with revenues in the period they are incurred
- b) To record cash transactions only
- c) To delay tax payments
- d) To simplify accounting procedures

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3. Which of the following is included when calculating expenses for the year under accrual accounting?

- a) Only cash payments made during the year
- b) Expenses paid in advance for future years
- c) Expenses incurred but not yet paid by year-end
- d) All of the above

4. If a company pays rent in advance for the next year, how is this recorded in accrual-based accounting?

- a) As an expense for the current year
- b) As a prepaid expense (asset)

- c) As a liability

- d) It is not recorded until the next year

5. How is revenue recognized in accrual-based accounting?

- a) When the payment is received

- b) When the revenue is earned

- c) At the end of the fiscal year

- d) When the invoice is sent

6. Which of the following is true about accrued income?

- a) It is income that has been received in advance

- b) It is income that has been earned but not yet received

- c) It is recorded as a liability

- d) It is not included in the income statement

7. In the one account method, how is an expense in arrear typically recorded?

- a) As a prepaid expense

- b) As an accrued expense

- c) As a deferred revenue

- d) As a current asset

8. What does the two account method for expense in arrear involve?

- a) Recording the expense only when paid

- b) Using separate accounts for expenses and liabilities

- c) Combining income and expenses in one account

- d) None of the above

9. How are expenses paid in advance treated in the one account method?

- a) As expenses for the current year

- b) As liabilities

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- c) As prepaid expenses (assets)

- d) As income

10. In the two account method, how is an expense in advance recorded at the time of payment?

- a) As a direct expense

- b) As a prepaid expense and then as an expense when incurred

- c) As income

- d) As a liability

11. What is the main characteristic of accrued income?

- a) Income received before it is earned

- b) Income earned but not yet received

- c) Income received and earned simultaneously

- d) Income that is not recognized in financial statements

12. Where is accrued income reported on the balance sheet?

- a) As a current asset

- b) As a current liability

- c) As equity

- d) It is not reported on the balance sheet

13. How is income received in advance classified in accrual accounting?

- a) As an expense

- b) As income

- c) As a liability

- d) As an asset

14. What happens to advance income when it is earned?

- a) It remains as a liability

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- b) It is transferred to the income statement as revenue
- c) It is refunded to the customer
- d) It is written off

15. What is the purpose of a diagrammatic representation of accruals and prepayments?

- a) To simplify the preparation of financial statements
- b) To ensure compliance with tax regulations
- c) To provide a visual understanding of the flow of expenses and income
- d) To record cash transactions accurately

16. Which of the following is true about prepayments?

- a) They are expenses paid and recorded in the period they relate to
- b) They are always recorded as expenses in the current period
- c) They are deferred until the next fiscal year
- d) They do not affect the balance sheet

17. Why are adjusting entries necessary in accrual accounting?

- a) To ensure all cash transactions are recorded
- b) To update accounts to reflect revenues earned and expenses incurred
- c) To prepare financial statements for tax purposes
- d) To record dividends paid to shareholders

18. What is the effect of closing entries on the income statement accounts?

- a) They carry over balances to the next accounting period
- b) They adjust the balances for inflation
- c) They transfer balances to the cash flow statement
- d) They reset the balances to zero for the next accounting period

19. Which accounts are typically affected by adjusting entries?

- a) Cash and bank accounts

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- b) Income and expense accounts
- c) Equity accounts
- d) Fixed asset accounts

20. What is the main purpose of closing entries?

- a) To prepare accounts for the next period
- b) To finalize tax reports
- c) To update cash balances
- d) To record dividends

CHAPTER 9: PROVISION FOR DOUBTFUL DEBTS AND ALLOWABLE DISCOUNTS

21. What is the primary difference between bad debts and doubtful debts?

a) Bad debts are recoverable, doubtful debts are not.

b) Bad debts are irrecoverable, doubtful debts might not be recovered.

c) Bad debts are not recognized as an expense, doubtful debts are.

d) There is no difference; both are treated the same in accounting.

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22. Which account is debited when a debtor is written off as a bad debt?

a) Debtors' A/c

b) Provision for doubtful debts A/c

c) Bad Debts A/c

d) Discount Allowed A/c

23. What happens when an increase in provision for doubtful debts is recorded?

a) Debtors' A/c is credited.

b) Bad Debts A/c is credited.

c) Provision for doubtful debts A/c is credited.

d) Discount Allowed A/c is debited.

24. How is the bad debt recovered recorded in the books?

a) Bank A/c is debited, Bad Debts Recovered A/c is credited.

b) Bank A/c is credited, Bad Debts Recovered A/c is debited.

c) Bad Debts A/c is debited, Debtors' A/c is credited.

d) Debtors' A/c is debited, Bank A/c is credited.

25. In the measurement of doubtful debts, what rate is applied to general debtors?

a) 0%

b) 10%

c) 5%

d) 15%

26. If the closing balance of provision for doubtful debts is higher than the opening balance, what is the accounting treatment?

a) Decrease in provision for doubtful debts

b) Credit Provision for doubtful debts A/c

c) Debit Bad Debts A/c

d) Debit Debtors' A/c

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27. In the context of provision for doubtful debts based on aging analysis, what rate is applied to debts overdue for more than 90 days?

a) 5%

b) 7%

c) 8%

d) 10%

28. What entry is made when there is a decrease in provision for doubtful debts?

a) Provision for doubtful debts A/c is debited, Bad Debts A/c is credited.

b) Bad Debts A/c is debited, Provision for doubtful debts A/c is credited.

c) Debtors' A/c is debited, Bad Debts A/c is credited.

d) Discount Allowed A/c is debited, Debtors' A/c is credited.

29. How are discounts allowed to debtors recorded in the accounts?

a) Debtors' A/c is debited, Bank A/c is credited.

b) Provision for discount A/c is debited, Discount Allowed A/c is credited.

c) Discount Allowed A/c is debited, Debtors' A/c is credited.

d) Debtors' A/c is debited, Discount Allowed A/c is credited.

30. What is the correct entry for creating provision for discount on debts?

a) Debtors' A/c is debited, Bank A/c is credited.

b) Provision for discount A/c is debited, Discount Allowed A/c is credited.

c) Discount Allowed A/c is debited, Provision for discount A/c is credited.

d) Debtors' A/c is debited, Discount Allowed A/c is credited.

31. If a debtor owing Rs. 10,000 is specifically doubtful with an expected recovery rate of 75%, what is the provision amount?

a) Rs. 2,500

b) Rs. 7,500

c) Rs. 5,000

d) Rs. 2,500

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32. What is the balance carried forward in Provision for Doubtful Debts if the general provision rate is 5% and the general debtors' balance is Rs. 50,000?

a) Rs. 1,500

b) Rs. 2,000

c) Rs. 2,500

d) Rs. 3,000

33. When writing off bad debts, which accounts are affected?

a) Debtors' A/c is debited, Bad Debts A/c is credited.

b) Bank A/c is debited, Bad Debts A/c is credited.

c) Bad Debts A/c is debited, Debtors' A/c is credited.

d) Provision for doubtful debts A/c is debited, Bad Debts A/c is credited.

34. What is the rate applied to create a provision for doubtful debts for balances overdue between 30 and 60 days?

a) 2%

b) 5%

c) 7%

d) 10%

35. Which entry records the recognition of an increase in provision for doubtful debts?

a) Bad Debts A/c is debited, Provision for doubtful debts A/c is credited.

b) Provision for doubtful debts A/c is debited, Bad Debts A/c is credited.

c) Debtors' A/c is debited, Bad Debts A/c is credited.

d) Discount Allowed A/c is debited, Debtors' A/c is credited.

36. What is the correct accounting treatment for a discount allowed to a debtor?

a) Bank A/c is debited, Debtors' A/c is credited.

b) Provision for discount A/c is debited, Discount Allowed A/c is credited.

c) Debtors' A/c is debited, Bank A/c is credited.

d) Discount Allowed A/c is debited, Debtors' A/c is credited.

37. In the context of provision for doubtful debts based on specific debtors, what is the provision amount for a debtor owing Rs. 6,000 with an expected recovery rate of 50%?

a) Rs. 3,000

b) Rs. 2,000

c) Rs. 4,000

d) Rs. 5,000

38. What is the balance carried forward in the Provision for Doubtful Debts A/c if the specific debtor provision is Rs. 6,000 and the general debtor provision is Rs. 2,500?

a) Rs. 7,500

b) Rs. 8,500

c) Rs. 6,500

d) Rs. 9,500

39. What is the entry for bad debts recovered?

a) Debtors' A/c is debited, Bank A/c is credited.

b) Provision for doubtful debts A/c is debited, Bad Debts A/c is credited.

c) Bank A/c is debited, Bad Debts Recovered A/c is credited.

d) Bad Debts A/c is debited, Debtors' A/c is credited.

40. When decreasing the provision for doubtful debts, which accounts are affected?

a) Provision for doubtful debts A/c is debited, Debtors' A/c is credited.

b) Bad Debts A/c is debited, Provision for doubtful debts A/c is credited.

c) Debtors' A/c is debited, Bank A/c is credited.

d) Provision for doubtful debts A/c is debited, Bad Debts A/c is credited.

CHAPTER 10: ACCOUNTING FOR FIXED ASSETS AND DEPRECIATION

41. Property, plant, and equipment are:

a) Assets held for resale

b) Assets used for less than one year

c) Assets used over a period exceeding one year

d) Current assets

42. What are the recognition criteria for property, plant, and equipment?

a) Cost is negligible

b) Cost can be measured reliably

c) Assets are intangible

d) Assets are leased

43. How are purchased or constructed assets initially measured?

a) At cost

b) At market value

c) At residual value

d) At depreciated value

44. What model is used to measure property, plant, and equipment after recognition?

a) Revaluation model

b) Cost model

c) Market value model

d) Residual value model

45. Which of the following is NOT a cost component of property, plant, and equipment?

a) Purchase price less trade discounts

b) Import duties

c) Refundable purchase taxes

d) Directly attributable costs

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46. What is the systematic allocation of the depreciable amount of an asset over its useful life called?

a) Amortization

b) Depreciation

c) Impairment

d) Depletion

47. Depreciation is calculated based on:

a) Useful life and residual value of the asset

b) Market value

c) Purchase price only

d) Book value

48. Which method of depreciation allocates equal amounts of depreciation each year?

a) Straight line method

b) Reducing balance method

c) Sum of years digit method

d) Units of production method

49. In the reducing balance method, depreciation is calculated on:

a) Residual value

b) Opening net book value

c) Purchase price

d) Useful life

50. Which method of depreciation is based on the number of service hours used?

a) Service hour method

b) Straight line method

c) Reducing balance method

d) Sum of years digit method

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51. The accounting entry for the purchase of a fixed asset on credit is:

a) Fixed Asset A/c. Debit; Cash/Bank/Creditor A/c. Credit

b) Depreciation Expense A/c. Debit; Provision for Depreciation A/c. Credit

c) Provision for Depreciation A/c. Debit; Fixed Asset A/c. Credit

d) Bank A/c. Debit; Asset Disposal A/c. Credit

52. When a fixed asset is sold at a loss, which account is debited?

a) Provision for Depreciation A/c.

b) Income Statement

c) Bank A/c.

d) Asset Disposal A/c.

53. How is the cost of dismantling and removing the item and restoring the site recognized?

a) As a current expense

b) As part of the cost of the asset

c) As a liability

d) As an intangible asset

54. Under the straight line method, what is the annual depreciation for a machine costing Rs. 80,000 with a residual value of Rs. 2,000 and a useful life of 4 years?

a) Rs. 19,200

b) Rs. 19,500

c) Rs. 15,600

d) Rs. 7,800

55. Which depreciation method results in higher depreciation expense in the earlier years of an asset's life?

a) Straight line method

b) Reducing balance method

c) Sum of years digit method

d) Units of production method

56. Which depreciation method would you use if the depreciation expense needs to vary with the usage of the asset?

a) Straight line method

b) Units of production method

c) Reducing balance method

d) Sum of years digit method

57. The entry to record the provision against depreciation expense for the year is:

a) Fixed Asset A/c. Debit; Cash/Bank/Creditor A/c. Credit

b) Depreciation Expense A/c. Debit; Provision for Depreciation A/c. Credit

c) Provision for Depreciation A/c. Debit; Fixed Asset A/c. Credit

d) Bank A/c. Debit; Asset Disposal A/c. Credit

58. When an asset is disposed of and there is a gain, the gain is transferred to:

a) Provision for Depreciation A/c.

b) Bank A/c.

c) Income Statement

d) Asset Disposal A/c.

59. If an asset with a book value of Rs. 20,000 and accumulated depreciation of Rs. 60,000 is sold for Rs. 30,000, what is the gain or loss on disposal?

a) Gain of Rs. 10,000

b) Loss of Rs. 10,000

c) Gain of Rs. 20,000

d) Loss of Rs. 20,000

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60. Under the units of production method, what is the depreciation expense for a machine that produced 15,000 units in the second year with a per unit depreciation rate of Rs. 1.95?

a) Rs. 19,500

b) Rs. 29,250

c) Rs. 13,000

d) Rs. 7,000

CHAPTER 11: CONTROL ACCOUNTS
Accounting for Receivables and Payables

61. What is the primary function of a control account?

a) To record all cash transactions

b) To summarize large volumes of transactions

c) To maintain detailed records of inventory

d) To reconcile bank statements

62. Which type of account is used to control individual debtor accounts?

a) Purchase ledger

b) Sales ledger control account

c) General ledger

d) Cash book

63. What does the balance in the debtors control account represent?

a) Total cash received

b) Total amount payable to creditors

c) Total amount currently owed by all credit customers

d) Total sales for the period

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64. What type of entry is made when a debtor is also a creditor and the balances need to be set off?

a) Cash entry

b) Journal entry

c) Contra entry

d) Sales entry

65. Which item would appear on the debit side of the Creditors Control Account?

a) Cash paid to creditors

b) Credit purchases

c) Bills payable dishonoured

d) Interest payable

66. What might cause a credit balance to appear in the debtors account?

a) Cash received in advance

b) Refunds to debtors

c) Credit purchases

d) Bad debts

67. What is the effect of recording a credit sale in the debtors control account?

a) Decreases the balance

b) Increases the balance

c) No effect

d) Creates a contra entry

68. What must be investigated if the closing balance of the control account does not agree with the total of individual balances?

a) Credit sales

b) Differences and errors

c) Cash payments

d) Inventory records

69. What happens when a purchase day book is overcast?

a) The balance on the purchase ledger control account is overstated

b) The balance on the purchase ledger control account is understated

c) There is no effect

d) Cash payments are affected

70. Which account is affected by bad debts written off?

a) Creditors control account

b) Purchases account

c) Debtors control account

d) Sales account

71. How is a discount received from creditors recorded?

a) Creditors control account credit side

b) Debtors control account debit side

c) Sales account credit side

d) Purchases account debit side

72. What is the correct treatment for an advance payment to a creditor?

a) Debit side of debtors control account

b) Debit side of creditors control account

c) Credit side of sales account

d) Credit side of purchases account

73. Which of the following would not appear on the debit side of the debtors control account?

a) Opening balance

b) Credit sales

c) Bad debts

d) Refund to debtors

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74. If a credit balance appears in the debtors account, what could it indicate?

a) Overstated sales

b) Understated cash receipts

c) Cash received in advance

d) Unrecorded purchases

75. How are refunds to debtors recorded in the debtors control account?

a) On the credit side

b) On the debit side

c) On both sides

d) Not recorded

76. In the creditors control account, where are purchase returns recorded?

a) On the credit side

b) On the debit side

c) On both sides

d) Not recorded

77. What is the impact of a casting error in the books of original entry?

a) Can cause differences in both control account and individual accounts

b) Only affects the control account

c) Only affects the individual accounts

d) Has no impact

78. What does a contra entry do?

a) Increases debtors and decreases creditors

b) Decreases debtors and increases creditors

c) Offsets the balances of a person who is both a debtor and a creditor

d) Records advance payments

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79. What might a debit balance in the creditors control account indicate?

a) Cash paid in advance

b) Overdue payments

c) Understated purchases

d) Excess inventory

80. Which item would appear on the credit side of the debtors control account?

a) Sales returns

b) Credit purchases

c) Bills payable dishonoured

d) Interest charged to debtors

CHAPTER 12: RECTIFICATION OF ERRORS

81. Which of the following is an error of omission?

- a) A sales invoice not recorded in the books of original entry
- b) A purchase recorded in the wrong account
- c) A purchase of machinery recorded as an expense
- d) A sales invoice recorded with the wrong amount

82. What is a compensating error?

- a) When an error in one account is offset by an error in another account
- b) When the sum of multiple errors cancels each other out
- c) When an error is found and corrected immediately
- d) When an error does not affect the trial balance

83. Which error is also known as a transposition error?

- a) Error of omission
- b) Error of original entry
- c) Error of principle
- d) Error of commission

84. When a suspense account is used, it indicates:

- a) There is a difference in the trial balance
- b) There is no difference in the trial balance
- c) The financial statements are accurate
- d) The trial balance is not prepared

85. An error where a sales income account is overcast by Rs. 200 will be rectified by:

- a) Debit Sales a/c, Credit Suspense a/c
- b) Debit Suspense a/c, Credit Sales a/c

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- c) Debit Sales a/c, Credit Bank a/c

- d) Debit Suspense a/c, Credit Bank a/c

86. Which of the following errors affects the trial balance?

- a) Error of omission

- b) Error of commission

- c) Suspense account error

- d) Compensating error

87. How is an error where sales are undercast by Rs. 500 rectified?

- a) Debit Sales a/c, Credit Suspense a/c

- b) Debit Suspense a/c, Credit Sales a/c

- c) Debit Sales a/c, Credit Debtors a/c

- d) Debit Debtors a/c, Credit Sales a/c

88. If a rent expense is wrongly credited to the rent income account, the rectification entry is:

- a) Debit Rent expense, Credit Rent income

- b) Debit Rent income, Credit Rent expense

- c) Debit Suspense a/c, Credit Rent expense

- d) Debit Rent expense, Credit Suspense a/c

89. When correcting an error where only the debit side of a sales account was posted, the entry is:

- a) Debit Debtors a/c, Credit Sales a/c

- b) Debit Sales a/c, Credit Suspense a/c

- c) Debit Suspense a/c, Credit Sales a/c

- d) Debit Sales a/c, Credit Bank a/c

90. An error where a purchase of Rs. 800 is debited to the Debtors a/c instead of Purchases a/c is rectified by:

- a) Debit Purchases a/c, Credit Debtors a/c
- b) Debit Debtors a/c, Credit Purchases a/c
- c) Debit Suspense a/c, Credit Debtors a/c
- d) Debit Purchases a/c, Credit Suspense a/c

91. Which error will not affect the trial balance?

- a) Under/overcasting of a ledger account
- b) Omission of a transaction from the books of original entry
- c) Balance appearing with an incorrect amount in the trial balance
- d) Double posting of a transaction

92. When correcting an error of principle, the rectification entry should:

- a) Affect only nominal accounts
- b) Affect only real accounts
- c) Affect both nominal and real accounts
- d) Affect only personal accounts

93. An error where the purchase of a computer is recorded in the stationery account is an example of:

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- a) Error of omission
- b) Error of commission
- c) Error of principle
- d) Error of original entry

94. If sales of Rs. 800 were posted only in the Sales a/c, the rectification is:

- a) Debit Suspense a/c, Credit Sales a/c
- b) Debit Debtors a/c, Credit Suspense a/c
- c) Debit Sales a/c, Credit Suspense a/c
- d) Debit Debtors a/c, Credit Sales a/c

95. Which type of error occurs due to wrong decisions about capital and revenue nature?

- a) Error of omission
- b) Error of commission
- c) Error of original entry
- d) Error of principle

96. In the case of undercasting a Sales a/c by Rs. 1,000, the rectification entry is:

- a) Debit Suspense a/c, Credit Sales a/c
- b) Debit Sales a/c, Credit Suspense a/c
- c) Debit Bank a/c, Credit Sales a/c
- d) Debit Sales a/c, Credit Debtors a/c

97. When a debtors' account is credited instead of debited, the rectification entry is:

- a) Debit Debtors a/c, Credit Suspense a/c
- b) Debit Suspense a/c, Credit Debtors a/c
- c) Debit Debtors a/c, Credit Sales a/c
- d) Debit Sales a/c, Credit Debtors a/c

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98. If the provision for doubtful debts is increased and debited in error, the rectification is:

- a) Debit Suspense a/c, Credit Provision for Doubtful Debts a/c
- b) Debit Suspense a/c, Credit Provision for Bad Debts a/c
- c) Debit Provision for Doubtful Debts a/c, Credit Suspense a/c
- d) Debit Provision for Bad Debts a/c, Credit Suspense a/c

99. In the case of an incorrect trial balance, which error requires adjusting both the nominal and suspense accounts?

- a) Error in recording the amount
- b) Error of omission
- c) Error of commission
- d) Compensating error

100. If rent expense is wrongly debited to both the rent and bank accounts, the rectification entry is:

- a) Debit Suspense a/c, Credit Bank a/c
- b) Debit Bank a/c, Credit Rent expense a/c
- c) Debit Suspense a/c, Credit Rent expense a/c
- d) Debit Rent expense a/c, Credit Suspense a/c

CHAPTER 13: FINAL ACCOUNTS WITH ADJUSTMENTS

101. Which financial statement is prepared to determine the profitability of an entity during an accounting period?

a) Balance Sheet

b) Statement of Financial Position

c) Income Statement

d) Statement of Changes in Equity

102. According to IAS 1, how many components are there in financial statements?

a) Four

b) Five

c) Six

d) Three

103. What is the formula for calculating profit in the income statement?

a) Assets – Liabilities

b) Incomes – Expenses

c) Owners' Equity + Liabilities

d) Incomes + Liabilities

104. What does the balance sheet aim to reflect about an entity?

a) Profitability

b) Financial position

c) Cash flow

d) Changes in equity

105. What is the equation used to ascertain the financial position in the balance sheet?

a) Incomes – Expenses

b) Assets = Owners' Equity + Liabilities

c) Assets – Liabilities

d) Incomes + Liabilities

116. Which component of the financial statement provides information about cash inflows and outflows?

a) Income statement

b) Statement of Cash Flows

c) Balance sheet

d) Notes to the Financial Statements

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117. What should be marked while reading the trial balance to prepare final accounts?

a) P/L/I/E/O

b) E/I/A/L/O

c) A/I/E/L/P

d) O/I/E/L/A

118. How is the financial strength of an entity ascertained in the balance sheet?

a) Through net income

b) Through the sum of total assets and total financial sources

c) Through equity alone

d) Through liabilities alone

119. Which account is credited when recording depreciation expense for the year?

a) Cash account

b) Sales account

c) Accumulated Depreciation account

d) Owners' Equity account

120. What entry is made for prepaid insurance covering a future period?

a) Insurance premium Dr. / Cash Cr.

b) Prepaid Insurance Dr. / Insurance Premium Cr.

c) Insurance Premium Dr. / Prepaid Insurance Cr.

d) Cash Dr. / Prepaid Insurance Cr.

CHAPTER 14: MANUFACTURING ACCOUNT

121. Which of the following is not a characteristic of a manufacturing entity?

a) Converts raw material into finished goods

b) Sells goods in finished form without modification

c) Incurs direct and indirect production costs

d) Includes furniture manufacturers and jewelry makers

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122. What type of account is prepared by manufacturing entities in addition to trading and profit & loss accounts?

a) Income statement

b) Balance sheet

c) Manufacturing account

d) Cash flow statement

123. Which cost can be independently traced as a product cost in manufacturing?

a) Direct cost

b) Indirect cost

c) Overhead cost

d) Period cost

124. What type of inventory is adjusted in the trading account of a manufacturing entity?

a) Material inventory

b) Work in process inventory

c) Finished goods inventory

d) Spare parts inventory

125. Which of the following is included in direct material cost?

a) Depreciation of production plant

b) Factory overhead

c) Raw materials used in production

d) Factory building rent

126. In a manufacturing account, which cost category includes electricity bills of the workshop?

a) Direct cost

b) Prime cost

c) Factory overhead cost

d) Conversion cost

127. What is the term used for the cost incurred to convert raw materials into finished goods?

a) Conversion cost

b) Direct cost

c) Indirect cost

d) Prime cost

128. Which type of inventory includes semi-finished goods?

a) Material inventory

b) Work in process inventory

c) Finished goods inventory

d) Supplies inventory

129. What is the first component listed in the manufacturing account format?

a) Direct material consumed

b) Direct labor

c) Factory overhead cost

d) Prime cost

130. Which cost is subtracted from the total cost put into process to determine the cost of goods manufactured?

a) Opening work in process inventory

b) Closing work in process inventory

c) Indirect labor

d) Depreciation

131. What does the prime cost include?

a) Direct material and direct labor

b) Direct material and factory overhead

c) Direct labor and factory overhead

d) Factory overhead and indirect labor

132. Which of the following statements is true about indirect costs?

a) They can be identified in a single product

b) They are not included in the manufacturing account

c) They are incurred for the overall production process

d) They include direct material and direct labor

133. What is the relationship between cost of goods sold and expense?

a) Cost of goods sold is an asset

b) Cost of goods sold is an expense

c) Cost of goods sold is not related to expense

d) Cost of goods sold is only a prime cost

134. Which of the following inventories is not treated in the manufacturing account?

a) Material inventory

b) Work in process inventory

c) Finished goods inventory

d) Indirect material inventory

135. What is the main purpose of preparing a manufacturing account?

a) To calculate net profit

b) To determine sales revenue

c) To produce the cost of goods manufactured

d) To manage cash flow

136. Which cost is part of factory overhead cost?

a) Direct material

b) Direct labor

c) Factory depreciation

d) Cost of goods sold

137. What is the difference between cost and expense according to the document?

a) There is no difference

b) Expense is a future cost

c) Cost that expires is expense

d) Cost is always higher than expense

138. Which of the following items is considered an indirect labor cost?

a) Carriage inwards

b) Royalty at production level

c) Indirect manufacturing wages

d) Direct manufacturing wages

139. Which inventory is associated with raw materials and supplies used in production?

a) Material and supplies inventory

b) Work in process inventory

c) Finished goods inventory

d) Conversion cost inventory

140. What is the primary focus of a trading entity's income statement?

a) Trading account and profit & loss account

b) Manufacturing account

c) Balance sheet

d) Cash flow statement

CHAPTER 15: ACCOUNTING FOR INVENTORIES

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141. What does IAS 2 primarily address?

a) Revenue recognition

b) Inventory valuation

c) Asset depreciation

d) Financial statement presentation

142. According to IAS 2, inventories are assets held for:

a) Investment purposes

b) Long-term leasing

c) Sale in the ordinary course of business

d) Exchange for services

143. What is the net realizable value of inventory?

a) Estimated selling price less estimated costs to complete and sell

b) Historical cost plus estimated selling expenses

c) Replacement cost minus depreciation

d) Market value plus storage costs

144. Under IAS 2, inventories should be valued at:

a) The lower of cost and net realizable value

b) The higher of cost and replacement cost

c) The lower of historical cost and replacement cost

d) The higher of net realizable value and market value

145. Which of the following is a component of the cost of inventory?

a) Selling expenses

b) Conversion costs

c) Administrative overheads

d) Abnormal waste costs

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146. Which inventory costing method assumes that the first items purchased are the first to be sold?

a) Specific cost method

b) First In First Out (FIFO)

c) Last In First Out (LIFO)

d) Weighted Average Cost (W-AV-CO)

147. In a perpetual inventory system, which account is debited when inventory is purchased?

a) Cost of Goods Sold

b) Purchases

c) Inventory Purchase

d) Accounts Payable

148. Which inventory costing method involves valuing inventory at the weighted average price of inventory on hand?

a) Specific Cost Method

b) Last In First Out (LIFO)

c) Weighted Average Cost (W-AV-CO)

d) First In First Out (FIFO)

149. Under a periodic inventory system, what entry is made to record the purchase of inventory?

a) Purchases A/c Dr; Bank/Creditors A/c Cr

b) Inventory Purchase A/c Dr; Bank/Creditors A/c Cr

c) Cost of Goods Sold A/c Dr; Inventory Purchases A/c Cr

d) No entry is made

150. Which cost is NOT included in the cost of purchase of inventory?

a) Import duties

b) Transport and handling costs

c) Refundable sales tax

d) Purchase price less trade discounts

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151. When inventory is written down to its net realizable value, the loss is recognized:

a) Immediately in the Income Statement

b) Over the useful life of the inventory

c) When the inventory is sold

d) At the end of the reporting period

152. Which inventory valuation method is best for interchangeable inventory items purchased at different times and prices?

a) Specific Cost Method

b) Weighted Average Cost (W-AV-CO)

c) First In First Out (FIFO)

d) Last In First Out (LIFO)

153. In the context of IAS 2, what is meant by 'normal capacity'?

a) The maximum production capacity of the facility

b) The average production expected over several periods

c) The minimum production capacity required to cover fixed costs

d) The total production capacity utilized during peak periods

154. What happens to inventory costs when production levels are abnormally high?

a) Fixed overhead costs allocated per unit increase

b) Fixed overhead costs allocated per unit decrease

c) Variable costs per unit increase

d) Total inventory cost is not affected

155. What is a key advantage of the perpetual inventory system?

a) Simplicity and low cost

b) Continuous record of inventory movement

c) No need for physical stock counts

d) No technical knowledge required

156. How is abnormal loss treated in a perpetual inventory system?

a) As part of the cost of goods sold

b) Included in the inventory balance

c) Recorded in a separate abnormal loss account

d) Not recorded until the end of the period

157. When is inventory recognized as an expense?

a) When purchased

b) When sold

c) When inventory levels are low

d) At the end of the reporting period

158. What is a disadvantage of the periodic inventory system?

a) It does not protect materials from theft or loss

b) It is very complex

c) It requires frequent physical counts

d) It is costly

159. Which cost is excluded from the cost of inventories and is expensed immediately?

a) Purchase price

b) Administrative overheads not contributing to inventory

c) Import duties

d) Carriage and handling charges

160. According to IAS 2, under what circumstance should inventory be written down?

a) When its historical cost is higher than the current market price

b) When its net realizable value is lower than the cost

c) When the replacement cost is higher than the net realizable value

d) When the inventory turnover ratio is high

CHAPTER 16: ACCOUNTING FOR PARTNERSHIP FIRMS

161. What is the primary difference between the financial statements of a sole proprietorship and a partnership?

- a) Types of assets reported

- b) Distribution of profits among owners

- c) Method of depreciation

- d) Reporting of liabilities

162. In a partnership firm, where is the net profit as per the income statement transferred?

- a) Partner's capital account
- b) Profit and loss appropriation account
- c) Partner's current account
- d) Reserve fund

163. What is deducted from the partners' profit share before distribution?

- a) Interest on capital
- b) Bonus
- c) Partner's salary
- d) Interest on drawings

164. How is goodwill described in the document?

- a) Tangible asset of the business
- b) Aggregate of intangible attributes contributing to superior earning capacity
- c) Financial liability of the firm
- d) Depreciable asset

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165. What is the method used to calculate good will based on average profit?

- a) Super profit method
- b) Market capitalization method
- c) Average profit method
- d) Discounted cash flow method

166. Under the Super Profit Method, how is super profit defined?

- a) Difference between average profit and gross profit
- b) Difference between average profit and normal profit
- c) Difference between net profit and normal profit

- d) Difference between gross profit and net profit

167. What adjustment is necessary when a new partner is admitted to a firm?

- a) Calculation of depreciation
- b) Calculation of new profit sharing ratio
- c) Revaluation of liabilities only
- d) No adjustments are needed

168. Which of the following is a method for valuing goodwill?

- a) Super profit method
- b) Depreciation method
- c) Accrual method
- d) Cash flow method

169. What happens when goodwill is raised and retained as an asset upon the admission of a new partner?

- a) Goodwill is recognized as an asset and the old partners' capital accounts are credited
- b) Goodwill is written off
- c) New partner's capital account is debited
- d) No entry is made in the books

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170. How is the new profit sharing ratio calculated when a new partner buys his share equally from existing partners?

- a) Based on individual agreements
- b) Using the average of old partners' shares
- c) By proportionally reducing the old partners' shares
- d) By adding the new partner's share to the existing ratio

171. In the Average Profit Method, what does the term "average profit" refer to?

- a) The highest profit earned in the past years
- b) The mean profit earned over a number of years

- c) The lowest profit earned in the past years
- d) The profit earned in the most recent year

172. Why might a new partner be admitted to a partnership firm?

- a) To reduce the workload
- b) To diversify the product line
- c) Need of more capital or special skills
- d) To decrease liabilities

173. What is the primary purpose of a profit and loss appropriation account?

- a) To show the distribution of net profit among partners
- b) To record all expenses and revenues
- c) To show the financial position of the firm
- d) To record the purchase and sale of goods

174. Which of the following is not an intangible attribute contributing to goodwill?

- a) Good customer relations
- b) Superior management skills
- c) Physical inventory
- d) Efficient production techniques

175. What is one of the key reasons for valuing goodwill during a change in partnership?

- a) To ensure fair compensation among partners
- b) To calculate tax liabilities
- c) To assess market competition
- d) To determine future investment opportunities

176. Which of the following is not included in the profit and loss appropriation account?

- a) Interest on capital
- b) Partner's salary

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- c) Depreciation

- d) Interest on drawings

177. What document governs the distribution of profits and losses in a partnership?

- a) Partnership deed

- b) Income statement

- c) Balance sheet

- d) Cash flow statement

178. When a new partner is admitted, which account is credited if goodwill is paid privately?

- a) Goodwill account

- b) Old partners' capital accounts

- c) New partner's capital account

- d) Reserve account

179. What is the primary purpose of calculating interest on drawings?

- a) To increase profits

- b) To compensate the firm for the use of funds by partners

- c) To balance the capital accounts

- d) To adjust for inflation

180. What is the main reason for the revaluation of assets and liabilities when a new partner is admitted?

- a) To increase the firm's assets

- b) To comply with tax regulations

- c) To distribute more profits

- d) To present a true and fair view of the firm's financial position

CHAPTER 17: COMPANY FINANCIAL STATEMENTS (Final Account)

Q: What are the components of the final accounts of a company?

Balance Sheet, Income Statement, Statement of Changes in Equity, Statement of Cash Flows, Notes.

181. What is the primary reason for companies to prepare financial statements?

a) To comply with taxation requirements

b) To assess the performance of the company and its management

c) To fulfill marketing objectives

d) To ensure daily operational efficiency

182. Which financial statement shows a company's financial condition at a specific date?

a) Statement of Profit or Loss

b) Statement of Financial Position

c) Statement of Cash Flows

d) Statement of Changes in Equity

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183. What are non-current assets classified into according to IAS 1?

a) Fixed and Liquid Assets

b) Liquid and Tangible Assets

c) Fixed and Current Assets

d) Fixed and Other Non-Current Assets

184. Which of the following is considered a fixed tangible asset?

a) Patents

b) Trademarks

c) Plant and Machinery

d) Copyrights

185. What are long-term investments?

a) Cash equivalents

b) Inventory for resale

c) Short-term securities

d) Investments in equity instruments or debt securities of other entities

186. How are current assets defined?

a) Assets recoverable after several years

b) Assets recoverable and tradable within 12 months

c) Assets not recoverable

d) Assets recoverable in 5 years

187. What is the main characteristic of non-current liabilities?

a) Payable within one year

b) Payable after one or more accounting years

c) Short-term bank overdrafts

d) Payable in the next quarter

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188. Which statement shows both realized and unrealized gains and losses?

a) Statement of Cash Flows

b) Statement of Profit or Loss and Other Comprehensive Income

c) Statement of Financial Position

d) Statement of Changes in Equity

189. What does the Statement of Changes in Equity present according to IAS 1?

a) Total cash inflows and outflows

b) Total comprehensive income for the period

c) Detailed fixed assets changes

d) Detailed current liabilities

190. Which method is mostly followed by accountants to prepare an Income Statement?

a) Nature of expenses method

b) Function of expenses method

c) Cash basis method

d) None of the above

191. What type of asset are trademarks classified as?

a) Fixed Intangible Assets

b) Fixed Tangible Assets

c) Current Assets

d) Non-Current Liabilities

192. What is included in the financial expenses category?

a) Interest expenses

b) Sales revenue

c) Administrative expenses

d) Inventory costs

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193. Which item is NOT considered a component of Owners' Equity?

a) Ordinary Share Capital

b) Accounts Payable

c) Share Premium

d) Retained Earnings

194. What is the purpose of the notes in financial statements?

a) To summarize the financial position

b) To prepare tax returns

c) To provide explanatory details and accounting policies

d) To calculate cash flows

195. How are fixed tangible assets expected to be useful for an entity?

a) Less than one year

b) More than one accounting year

c) Exactly one year

d) No specific duration

196. What does the term 'marshalling' refer to in the context of financial statements?

a) Classification of liabilities

b) Grouping of assets based on permanency order

c) Presentation of cash flows

d) Segmentation of income

197. What does 'retrospective application' in the Statement of Changes in Equity refer to?

a) Future changes in equity

b) Effects of changes in accounting policy

c) Dividend distribution

d) Changes in cash flow

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198. What are current liabilities?

a) Long-term obligations

b) Present obligations payable within 12 months

c) Non-obligatory expenses

d) Irrelevant for financial reporting

199. What does OCI stand for in financial statements?

a) Operating Cash Income

b) Official Comprehensive Investments

c) Other Comprehensive Income

d) Organizational Capital Investment

200. In financial reporting, what is considered a 'Non-Current Liability'?

a) Accounts payable

b) Bank loans

c) Inventory

d) Cash on hand

CHAPTER 18: STATEMENT OF CASH FLOWS

201. What is the primary purpose of preparing a Statement of Cash Flows?

- a) To determine the net profit of the company
- b) To analyze all cash receipts and cash payments during an accounting period
- c) To prepare the income statement
- d) To calculate the financial ratios

202. What type of activity is "Cash received from disposal of non-current assets" classified under in the Statement of Cash Flows?

- a) Operating Activity
- b) Investing Activity
- c) Financing Activity
- d) Non-cash Activity

203. Which of the following is NOT included in the Operating Activities section of the Statement of Cash Flows?

- a) Cash received from customers
- b) Cash paid for interest/financial charges
- c) Cash paid to suppliers
- d) Cash paid for purchasing non-current assets

204. According to IAS 1, the Statement of Cash Flows becomes an integral component of:

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- a) The balance sheet
- b) The income statement
- c) Financial statements
- d) Management reports

205. What is the correct treatment for "Interest received" in the Statement of Cash Flows?

- a) Added to operating activities
- b) Subtracted from financing activities
- c) Added to investing activities
- d) Subtracted from operating activities

206. In the indirect method of preparing the Statement of Cash Flows, which of the following adjustments is made to net profit?

- a) Subtracting depreciation
- b) Adding profit on disposal of assets
- c) Subtracting increase in inventory
- d) Adding decrease in receivables

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207. What is included in the "Financing Activity" section of the Statement of Cash Flows?

- a) Cash received from sales
- b) Cash paid to suppliers
- c) Cash received from owners as capital
- d) Cash paid for purchasing non-current assets

208. In the Statement of Cash Flows, how is "Cash paid for Income Tax" classified?

- a) Operating Activity
- b) Investing Activity
- c) Financing Activity
- d) Non-cash Activity

209. Which account is considered as a book of secondary entry?

- a) Cash Book
- b) Receipts & Payments Account
- c) Statement of Cash Flows
- d) General Ledger

210. What does W-1 in the Statement of Cash Flows refer to?

- a) Cash generated from operations
- b) Cash received from interest/dividends
- c) Cash paid for income tax
- d) Cash received from disposal of non-current assets

211. Under which activity would "Cash received as loan" be classified?

- a) Operating Activity
- b) Investing Activity
- c) Financing Activity
- d) Non-cash Activity

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212. In the Statement of Cash Flows, how is "Cash paid for repayment of loan" classified?

- a) Operating Activity
- b) Investing Activity
- c) Financing Activity
- d) Non-cash Activity

213. Which of the following would be deducted from cash generated from operations in the indirect method?

- a) Depreciation
- b) Increase in stock
- c) Decrease in creditors
- d) Interest received

214. What is the format of the Statement of Cash Flows specified by IAS 1?

- a) Cash receipts, cash payments, net cash flow
- b) Operating, investing, and financing activities
- c) Assets, liabilities, and equity
- d) Revenues, expenses, and profit

215. Which of the following is not a part of the cash and cash equivalents at the end of the period?

- a) Cash in hand
- b) Bank overdraft
- c) Fixed deposits for more than three months
- d) Cash at bank

216. When preparing a Statement of Cash Flows, what does the W-2 working refer to?

- a) Cash received for interest
- b) Cash paid to suppliers
- c) Cash paid for interest/financial charges
- d) Cash paid for income tax

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217. In the Statement of Cash Flows, which activity includes "Cash paid to and on behalf of employees"?

- a) Operating Activity
- b) Investing Activity
- c) Financing Activity
- d) Non-cash Activity

218. What is the purpose of the cash book in accounting?

- a) To record all credit transactions
- b) To maintain chronological records of all cash receipts and payments
- c) To prepare the Statement of Cash Flows

- d) To analyze financial statements

219. What does W-6 refer to in the context of the Statement of Cash Flows?

- a) Cash received from customers
- b) Cash paid for purchasing non-current assets
- c) Opening and closing cash and cash equivalents
- d) Cash generated from operations

220. Which of the following activities is classified under Investing Activities in the Statement of Cash Flows?

- a) Payment of dividends
- b) Issuance of shares
- c) Purchase of machinery
- d) Payment of salaries

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